

FORMS OF BUSINESS OWNERSHIP

a) Meaning of Ownership

- Ownership means claim over title or belongingness of the business.
- Just as one can claim to have title over an asset like a car or house and say it belongs to him (her), it is also possible for some one to be entitled to own a business.
- In this way we can legally determine who has the right over the proceeds (profit), assets and liabilities of the business.

b) Legal forms of business ownership

- Legally, there are four forms of business ownership. These are; sole proprietorship, partnership, corporate and cooperative.
- Each of these forms of business ownership require different proceedings and impose obligations to owners in different ways.
- In this lecture however, we will consider the first three forms of ownership

i. Sole proprietorship

- This is the type of business ownership whereby title over the business belongs to one person.
- It involves both sole (individual) ownership and management of a business organization i.e. owner management of enterprises.
- This form of business ownership accounts for more than 70% of businesses in Tanzania.

□ Features of sole proprietorship

- Fundamental features of a sole proprietorship are:-

- owner management
- high business secrecy
- no distinction between owner's property and business
- **Registration requirements of a sole proprietorship**
- To register sole ownership of the business formally, one has:-
- fill and submit name registration application form no. 3 in which three proposed names, physical address and core activity of the business are specified.
- Pay name registration fee as indicated here under:-

Table 1: registration fees

Fees Payable	Amount (Tshs)
Application fee	5, 000/=
Name search fee	1, 000/=
Stamp duty	200/=
Cessation fee	1, 500/=
Certifying fee	1, 000/=
Name maintenance fee	1, 000/=

Source: adopted from Guidelines to accessing BRELA Services (2009:1)

- When the above requirements are met, the sole proprietor is issued with a certificate of sole proprietorship.
- **Merits and demerits of sole proprietorship**
- Major merits of a proprietorship are:-
- It is simple to start. No memorandum and article of associations. In presence of resources, just a name, application and subscription fee are enough to start.
- Total freedom on how to conduct business. No legal restriction on organisation rules to follow.

- Start-up costs are low. Minimum registration procedures and costs minimizes the resulting capital requirements.
- Direct motivation. The owner works for him/her-self and takes all earnings. Also there is direct connection between the owner and employees.
- High secrecy. Not obliged by the law to report business performance else where. Therefore the owner manager maintains high secrecy over what is done and earned in the business.

- Major disadvantages of sole proprietorship include:-
- The proprietor has unlimited liability i.e. proprietor's personal assets can be ceased to cover for outstanding debt obligations.
- It is difficult to raise capital because the proprietor has responsibility of raising capital alone.
- Business ends when the proprietor retires or dies. Due to high secrecy, relatives of the owner remain ignorant on business matters. As a result when the owner dies the business also dies.

- Limited skills. With freedom from regulations and low capital, owner managers tend to employ relatively unskilled cheap labour.
- Low Legitimacy. Due to minimum legal requirements there is minimum legal protection and consequently low credibility to financiers.

ii. Partnerships

- This is a form of business ownership whereby more than one individual's contracts to jointly get title over the same business.
- In Tanzania the law requires the number of partners not to exceed 20.

- The agreements to jointly get title over the same business is written in a legal document called partnership deed or article of co-partners.
- Individuals who agrees to jointly get title over the same business are called Partners.
- The partnership deed is supposed contain all information regarding the rights and obligations of each partner and regulations for running the business.
- Thus it forms a base for a binding contract.

□ Registration Requirements for a Partnership

- To register the partnership, partners are required to:-
- Fill and submit registration form. 2 in which names of partners and their other activities are listed. In addition the three proposed names, physical address and core business activity of the proposed partnership are indicated.
- Submit a well written partnership deed
- Pay name registration fees indicated in table 2 below.

Table 1: registration fees

Fees Payable	Amount (Tshs)
Application fee	5, 000/=
Name search fee	1, 000/=
Stamp duty	200/=
Cessation fee	1, 500/=
Certifying fee	1, 000/=
Name maintenance fee	1, 000/=

Source: adopted from Guidelines to accessing BRELA Services (2009 1)

- Once the registration requirements are fulfilled, partners are granted with a certificate of partnership

□ Types of partners

- Basically, there are two types of business partners namely general and Limited Partners.
- The general partner (also known as active partner) is a partner who has unlimited liability.
- Limited partner(s) are joint owners with limited liability. Limited partners may be:-
 - dormant (neither decision maker nor known to the public),
 - silent (not decision maker but known in public)
 - secret (decision maker but hidden from public).

- The law requires that every partnership must have at least one general partner or all general partners

□ Advantages and disadvantages of partnerships

- Major advantages of the partnerships include:-
 - It provides a larger pool of talent and money than do sole proprietorships
 - It is relatively easy to form a partnership than a company.
 - Owner's control over business activities and respective individuality is relatively retained compared to corporations.

- Distribution of business risks among partners
- Limited liabilities to limited partners.
- The major disadvantages of a partnership are:-
 - Less flexibility compared to sole proprietorship due to consultative decision making among partners.
 - Sharing of profits among the partners as agreed
 - Considerable legal formalities and restrictions as compared to sole proprietorship
 - Unlimited liability for general partners
 - Difficultness in disposing partnership unless properly arranged as compared to comprise.

iii. Corporation (company)

- A corporation is a legally independent entity from any single individual that is jointly owned by its stock holders and which can borrow money, enter into contracts, own property, sue and be sued.
- It is a modern business structure with a potential for collection of vast financial and managerial resources.
- As a result, the corporation is the preferred form of ownership for most large businesses.

□ Features of the Company

- The Distinguishing features of company are:-
 - total separation of ownership from management (separate entity principle)
 - limited liability for its members
 - legal personality of the entity

□ Registration Requirements for a Company

- To register ownership of the company, it requires:-
 - To fill and submit business registration form no. 1
 - To pay name registration fee as indicated in table 3 here under:-

Table 3: registration fees

Fees Payable	Amount (Tshs)
Application fee	5, 000/=
Name search fee	1, 000/=
Stamp duty	200/=
Cessation fee	1, 500/=
Certifying fee	1, 000/=
Name maintenance fee	1, 000/=

- Submit a well written memorandum and article of association
- Pay company registration fees as shown below:-

4/2/20

Fees Payable	Amount (Tshs)
Registration fee	50,000 up to 300,000
• By Nominal share where capital ranges from	
• By share capital but the number of members does not exceed 25 up to unlimited members	50,000 up to 120,000
Receipt of file able documents	15,000
Filing annual returns	15,000
Certification of document per page	2,000
Fee for search in any file (perusal)	2,000
For obtaining a Search report	15,000
Filing of memorandum & articles and forms 14(a) & (b)	45,000
Stamp duty for	
• Memorandum & articles	5,000
• Forms 14 (a) & (b)	2400

Source: adopted from Guidelines to accessing BRELA Services (2009 7)

- To fill pre-scribed statutory documents like books of accounts and pay respective fees.
- To comply with auditing and minimum capital requirements
- ☐ **Advantages and disadvantages of corporations**
 - Major advantages of the corporation are:-
 - The corporation is responsible for its own liabilities, so the owners have limited liability.
 - There is perpetual succession
 - Corporations can often borrow money easily due to their favourable image to creditors.

- Managed by Professionals.
- Easy to dispose membership by just selling shares.
- The major disadvantages of the Corporation are:-
- There is high startup costs and needs time & effort.
- Strict adherence memorandum and article
- Double taxation (payment income tax on profits stockholder's dividends).
- No secrecy because of need to publicize financial statements and crucial decisions.
- Less control by owner's who hold minority shares.
- Less flexibility due to existence of hierarchy.